

DEBT & EQUITY

SoHo Ground Lease Deal Tests Whether Development Math Works at 485-x Terms

Global Holdings and MAG Partners are betting that permanently affordable units and a ground lease can still pencil.

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A source-grounded Light Tower Insight. The complete note follows.

A joint venture between Global Holdings and MAG Partners plans to build 149 rental units in Manhattan's SoHo district on land leased from Trinity Church. Twenty-five percent of the units will be permanently affordable under New York City's 485-x program. The project at 122 Varick Street also includes 5,000 square feet of ground-floor retail.

The deal is not a vote of confidence in New York development broadly. It is a test of whether a specific capital stack can work at current construction costs, achievable rents, and a tax incentive that caps the upside on a quarter of the units forever.

Start with the ground lease. Trinity Church is not selling. It is monetizing its land without relinquishing control or paying capital gains. For the developer, a ground lease reduces the upfront equity check but adds a fixed annual payment that sits senior to the mortgage. That payment compresses the residual cash flow available to debt service and equity returns. Every dollar of ground rent is a dollar that cannot go to the lender or the sponsor.

The 485-x program is the other structural constraint. In exchange for permanently affordable units, the developer receives a 35-year property tax abatement. That is real value. But the permanent affordability requirement means the project cannot be repositioned to market-rate later. The income from 25 percent of the units is capped by formula, not by market demand. That limits the upside for both the debt and equity layers.

The question is whether the remaining 75 percent of market-rate units can generate enough income to cover the ground lease, the operating expenses, the debt service, and a return on equity. In SoHo, market rents are high. But so are construction costs. A 149-unit building on a tight urban site does not benefit from the scale economies of a 300-unit tower. The per-unit hard cost is likely elevated.

Construction financing for New York rentals remains expensive and selective. Regional banks have pulled back. National banks are underwriting cautiously. Debt funds are active but at spreads that reflect the risk of construction delays, cost overruns, and lease-up timelines. A project with a ground

lease and permanent affordability adds underwriting complexity. The lender must model the ground rent as a fixed cost and the affordable units as a fixed discount to market income. That narrows the debt service coverage ratio before the first shovel hits dirt.

The joint venture structure matters here. Global Holdings and MAG Partners are both experienced New York developers. That matters because lenders are underwriting sponsor quality as much as asset quality. A sponsor with a track record of delivering on time and on budget can access capital that a first-time developer cannot. But even experienced sponsors are facing construction loans with lower loan-to-cost ratios and higher reserve requirements than the prior cycle.

The retail component adds another variable. Five thousand square feet of ground-floor retail in SoHo is valuable, but the leasing market for small retail spaces is bifurcated. Credit tenants are scarce. Local and experiential tenants are active but require tenant improvement allowances and rent abatements. The retail income will not be the primary driver of the underwriting, but it will be a source of cash flow that the lender will discount heavily until leases are signed.

The absence of a construction timeline is itself a signal. Developers who are confident in their schedule announce it. The omission suggests that the joint venture is still finalizing the capital stack, the contractor bid, or both. That is not unusual for a ground-lease project with a tax incentive component. The approvals process for 485-x requires compliance with affordability guidelines, and the ground lease negotiation with an institutional landowner like Trinity Church adds its own timeline.

What should the market watch next? The first signal will be the construction loan. If the joint venture secures a loan with a loan-to-cost ratio above 60 percent and a spread that reflects the project's risk profile, it will indicate that lenders are willing to underwrite ground-lease development with permanent affordability. If the loan comes in at a lower advance rate or with significant equity requirements, it will confirm that the capital markets are still pricing risk conservatively.

The second signal will be the rent premium that the market-rate units can command. SoHo has strong demand, but the pipeline of new supply in the neighborhood is limited. If the project leases up at

rents that support the underwriting, it will validate the thesis. If rents stall, the ground lease and the affordable requirement will compress returns quickly.

The third signal will be the exit. A ground-lease building with permanent affordability is not a simple sale to a REIT or a private equity fund. The buyer must accept the ground lease structure and the income cap on a quarter of the units. That narrows the pool of potential buyers and may cap the terminal value. The developer's business plan must account for that liquidity discount.

This deal is not proof that New York development is back. It is proof that a specific set of conditions can still produce a shovel-ready project: institutional land, experienced sponsors, a tax incentive, and a location with structural demand. Every other project will have to meet the same test on its own terms.

SOURCES

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<https://rebusinessonline.com/joint-venture-to-develop-149-unit-apartment-building-in-manhattans-soho-district/>

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